

CHAPTER 8

REPRISE

There are few references in life so common as that to the lessons of history. Those who know it not are doomed to repeat it. The lessons of history can, however, be disturbingly ambiguous, and perhaps especially so in economics. That is because economic life is in a process of continuous transformation, and, in consequence, what was observed by earlier scholars—Adam Smith, John Stuart Mill, Karl Marx, Alfred Marshall—is an uncertain guide to the present or the future.

However, if the controlling circumstances are the same, the lessons of history are compelling—and even inescapable. That is the case here.

At the risk of repetition—restatement of what one hopes is now evident—let the lessons be summarized. The circumstances that induce the recurrent lapses into financial dementia have not changed in any truly operative fashion since the Tulipomania of 1636–1637. Individuals and institutions are captured by the wondrous satisfaction from accruing wealth. The associated illusion of insight is protected, in turn, by the oft-noted public impression that intelligence, one's own and that of others, marches in close step with the possession of money. Out of that belief, thus instilled, then comes action—the bidding up of values, whether in land, securities, or, as recently, art. The upward movement confirms the commitment to personal and group wisdom. And so on to the moment of mass disillusion and the crash. This last, it will now be sufficiently evident, never comes gently. It is always accompanied by a desperate and largely unsuccessful effort to get out.

Inherent in this sequence are the elements by which, in a comprehensive way, it is misunderstood. Those who are involved never wish to attribute stupidity to themselves. Markets also are theologically sacrosanct. Some